

Internal Underwriting Policies

Source: Company Underwriting Manual, Rev. 2024-Q4 | Effective: 2024-10-01

DISCLAIMER: This content is simulated for demonstration purposes and does not constitute legal or regulatory advice.

DTI Limits

The Company sets a maximum back-end DTI ratio of 40% for conventional loans, which is more conservative than the federal QM safe harbor of 43%. This overlay exists to reduce default risk in the Company's portfolio. Exceptions may be granted by the Chief Credit Officer for borrowers with a credit score above 760 and verified liquid reserves exceeding 12 months of housing payments.

For FHA loans, the Company follows FHA guidelines (31/43) without additional DTI overlays. For VA loans, the Company uses residual income analysis without a hard DTI cap.

Jumbo Loan Thresholds

Loan amounts exceeding the conforming loan limit (\$766,550 for 2024 in most areas, higher in designated high-cost areas) are classified as jumbo loans and subject to enhanced underwriting: minimum credit score of 700, maximum DTI of 38%, minimum 20% down payment, and at least 12 months of reserves.

Jumbo loans must be underwritten by a senior underwriter and require a second review. The property appraisal must include a second comparable analysis for jumbo amounts exceeding \$1.5 million.

Rate Lock Policy

Rate locks are available for 30, 45, or 60 day periods. Extended locks (90 days) require manager approval. Lock extensions beyond the original period incur a fee of 0.125% per 15-day extension. Renegotiation of locked rates is permitted only for market improvements exceeding 0.25% from the original lock date, subject to a renegotiation fee of 0.125%.

Float-down options are available at an additional cost of 0.125% upfront. Float-down may be exercised once, no later than 5 business days before the scheduled closing date.

Exception Process

Underwriting exceptions must be documented on the Exception Request Form and approved by the appropriate authority level: Senior Underwriter for minor exceptions (single factor, low risk), Underwriting Manager for moderate exceptions (DTI override up to 45%, LTV override up to 2%), and Chief Credit Officer for major exceptions (multiple factors or significant deviation from policy).

All exceptions must include a written justification explaining the compensating factors that mitigate the additional risk. Exception approvals are audited quarterly and reported to the Risk Committee.

Document Retention

Loan files must be retained for a minimum of 7 years from the date of final disposition (closing, denial, or withdrawal). HMDA-related data must be retained for 3 years following the March 1 submission deadline. Audit trail records must be retained for 10 years.

Electronic document storage must comply with the E-SIGN Act and maintain document integrity through checksums or digital signatures.